

Introduction

The exponential advancement of information and communication technologies in the post-pandemic era, especially AI, has outpaced legal developments, leaving a regulatory vacuum. If left unaddressed, this vacuum may exacerbate cybercrimes, erode public trust, and foster exploitation. Influential organisations and committees must aid in filling the legal vacuum by establishing a code of ethics for both professional and non-professional domains, allowing the laws to catch up to the changing landscape. For instance, the Malaysia Board of Technologists, MBOT, has formulated a widely adopted code of ethics across technology-related sectors in Malaysia, including education, research, and industry [1].

These challenges highlight the need for ethical frameworks, as apprehension over workplace automation amongst the working class and misinformation on social media intensifies despite significant efforts to address it. Breakthroughs in large language models have accelerated both trends; automation and content generation are cheap and easily accessible. This report will investigate the ethical imperative within the technology industry, focusing on the impact of AI on employment, as well as the spread of pervasive and manipulative misinformation on social media.

Workplace Ethical Issue

Description

Job displacement remains at the forefront of ethical concerns in workplace automation. Mass job displacement can lead to economic hardship, especially for those without access to higher education, and may cause societal instability if not handled properly. A high unemployment rate has been linked to deteriorating mental and physical health and erosion of relationships [2]. Work is often more than just a paycheck; it is tied to the individual's identity and a sense of purpose, leading to depression and other psychological problems [3]. From a utilitarian standpoint, companies must weigh efficiency and productivity against the social and economic costs of displaced workers.

This issue is especially relevant to the IT sector, which designs, develops, and maintains systems that automate human tasks. These systems are becoming increasingly capable, evolving from performing routine tasks such as data entry to complex tasks such as data analysis or some supervisory role. Such a pace of evolution, fuelled by various prospects of AGI, accelerates job transformation, catching workers off guard by job displacements. This further solidifies the ethical responsibility of developers to consider the human consequences of implementing such powerful tools into the global workforce.

Case Example

The major motive behind the extensive integration of AI is improved productivity and efficiency without increasing costs. For instance, on the 17th of June 2025, Jassy, CEO of Amazon, disseminated a memo to his employees that highlighted how AI has transformed operations, leading to anticipated cuts in Amazon's corporate workforce [4]. This signifies a broader trend where companies increasingly implement AI to handle tasks once handled by entry-level or repetitive roles, such as data processing and basic customer inquiries. As Julian Fayed noted, a lot of their lower-level operations are managed by AI 24/7 [5]. This newfound efficiency and productivity reduce the need to hire and invest in fresh graduates, thereby intensifying competition in an already tight job market.

A study titled "Assessing AI-induced Job-displacement in Malaysia" projects that approximately 1.6 million workers would be displaced across various occupational categories by 2026 due to AI adoption [7]. For such a large-scale shift towards AI, it is imperative to establish ethical frameworks across the globe to ensure that employees' welfare is maintained.

Seasoned employees are not invulnerable to AI's advancements; in May 2025, CrowdStrike announced a 5% workforce reduction, with CEO George Kurtz noting that "AI flattens our hiring curve and helps us innovate from idea to product faster" [6]. This reaffirms the use of AI in replacing established roles by automating increasingly complex tasks that previously required human cognitive effort.

Stakeholders and Consequences

Optimistically, automation assists employees by facilitating information retrieval, reducing repetitive workloads, and performing hazardous tasks. For employers, automation enhances organisational throughput, minimises losses from human error and workplace casualties, while offering a cost-effective and competitive business approach.

Since the emergence of ChatGPT, concerns have been raised regarding workforce replacement, as automation increasingly handles repetitive or generic tasks. At Amazon, robots now outnumber human employees, with CEO Andy Jassy acknowledging the shift, stating “We will need fewer people doing some of the jobs that are being done today, and more people doing other types of jobs,” reflecting the workforce reduction from 1.6 to 1.5 million globally [8,9].

This mirrors Malaysia’s recent experience, where Petronas faced criticism for layoffs linked to AI and work automation [9]. Likewise, TalentCorp’s research alarms that over 620 thousand jobs across 10 sectors in Malaysia may be replaced by 2030 due to competition from digitalisation, AI, and green technology, like how Amazon and Petronas shift towards AI and robot integration, leading to human workforce reduction [4,9,10]. This diversion can boost efficiency for stakeholders, but it raises ethical concerns: risk of alienating or discriminating against employees, triggering union pressure, destructing public trust, and protests.

Malaysian law, including the Employment Act 1955 and its 2022 Amendment, requires stakeholders to provide termination benefits and protect against discrimination [11,12]. Employers now face a new dilemma: joining the innovation bandwagon to enhance efficiency while also upholding fair labour practices, managing legal risk, and defending their reputation against negative perceptions [13].

Ethical Evaluation

The ethics surrounding workplace automation are complex, especially when the MBOT Code of Ethics, which covers professional conduct, intersects with general human ethics concerning fairness, transparency, and dignity.

From a profit-driven employer's viewpoint, replacing human employees with robots or AI may seem like an efficient way to boost productivity and reduce salary expenses, directly contributing to organisational income. However, this approach risks overlooking the contributions of existing employees who have helped build and sustain the company. An ethical employer should recognise the human value behind employee productivity, ensuring that technological advancement does not compromise the fairness and respect for employee achievement, while also showing benevolence by caring about their life source.

Although chatbots and robots may be able to perform well in predefined tasks by learning from professionals, their output may not always meet professional standards due to changing consumer needs in chaotic business environments. For example, AI in customer service may handle generic tasks, but lacks contextual judgment in complex decision-making situations like processing a refund request; an AI may not be able to identify the originality of a product or if it has been tampered with. This led to inconsistent outcomes that may lead to customer dissatisfaction or bring loss due to wrong decisions, making employers liable for being unprofessional and not diligent in providing reliable solutions to consumers.

In contrast, professional customer service personnel can assess the situations, make decisions, and respond appropriately to the consumer. This shows that our core ability to think, feel, and act is a unique profession within humans, rooted in the irreplaceable organ: mind and hands, which AI and robots cannot perfectly replicate, for solving real-world problems with consciousness.

Recommendations

Overcoming the challenges of workplace automation and digitalisation from IR4.0 is inevitable and must be addressed by both employers and employees. As highlighted in [13,14], employees are encouraged to stay relevant by participating in upskilling programmes to remain competent and professional in their fields based on MBOT, reducing the impact of workforce automation by enabling them to acquire new skills and improve productivity. This directly intensifies the employer confidence and customer satisfaction, adding value to the organisation. For instance, an IT employee who strives for perfection can upskill by learning new programming languages, participating in leadership activities, and, importantly, learning how to use AI effectively to their advantage because *“Technologies are not here to replace us, but to help us reach greater heights”*.

Employer-wise, a responsible organization with benevolence quality should always communicate digitalisation plans transparently to reduce uncertainty and ensure a fair transition among its employees. This helps employee to adapt to innovation without being left behind; directly improving morale and their competence in sustaining their roles. Moreover, employers should support their employees in participating in upskilling activities by providing low-cost or sponsoring classes promoting lifelong learning to keep their knowledge and skills pace with technological advancement.

Social Ethical Issue

Description

Social media is currently the major source where people obtain and share information [15]. In Malaysia, there are 70.2% of the total population are active social media users [16]. Therefore, due to the widespread connectivity, social media has become a dominant platform for accessing news and information.

However, the connectivity also speeds up the spread of misinformation. Misinformation may appear in various forms, including misleading content, fabricated news, and manipulated images. It can create dire consequences ranging from unnecessary panic and poor decision-making by individuals to public confusion and loss of trust in institutions. A study by the Global Risk Journalism Hub revealed that Malaysia places third in South Asia for fake news circulation, with 70% of Malaysians encountering misleading content online [17].

This created a crucial ethical dilemma in deciding whether to prioritize freedom of speech, which may confuse the public, inciting panic, especially when the topic involves health, safety, or politics, or to protect public safety from harm, which may lead to the violation of individual rights. Simultaneously, the efforts to curb misinformation via censorship or algorithmic filtering create another ethical issue. They bring up questions about who decides what is considered “true” and whether these tools could be abused for political or ideological control.

Case Example

The misinformation about COVID-19 during the pandemic is a main example of the mentioned dilemma. For instance, a total of 14 fake news posts regarding COVID-19 went viral on social media platforms over the course of the pandemic, causing government health officials to lodge a total of 3 formal reports due to their negative impact on the ministry's credibility [18,19]. This indicates that false claims can also have a big impact on a macro level, affecting their image and the public's trust.

Additionally, the think tank of Malaysia, Institute of Strategic and International Studies (ISIS), had analysed that 70% of false claims were either "authority action" or "community spread" [18,19]. An example of an authority action fake news post was a claim that the Terengganu police chief had warned of the implementation of the Enhanced Movement Control Order (EMCO) in Dungun [18,19]. Hence, such an example highlights the difficulty in balancing free speech and protecting the public from misinformation.

In a separate case, there was an incident where an elderly couple watched an AI-generated video showcasing a cable car ride located in Kuak Hulu Perak with a journalist interviewing visitors. Misled by its realistic visuals, the elderly couple travelled all the way from Kuala Lumpur to Perak [20, 21]. Once arriving, they were shocked to learn from staff that the cable car did not exist [20, 21]. Their experience highlights how the exploitation of generative AI can effortlessly deceive those who are digitally illiterate and the shared responsibility in verifying the sources of information before consuming it.

Impact on Society

The spread of misinformation on social media is generally quicker than the spread of accurate information due to advanced technologies and current digital trends [22]. One major factor contributing to this issue is that misinformation is often short, shocking, and created in a way that can capture the audience's attention quickly. Consequently, users tend to react and share without verifying its accuracy as it seems true to them. Additionally, the algorithms that are used by social media such as TikTok, Facebook, and Instagram are designed to prioritize content that receives more likes, shares, and comments [23]. Hence, misleading sensational content will be highlighted on these platforms and exposed to the users due to its high engagement.

For instance, vaccine misinformation during the COVID-19 pandemic led to public anxiety, causing individuals to hesitate or refuse vaccination, thereby putting public health at risk [24]. Similarly, political misinformation has the potential to increase mistrust and escalate tensions, resulting in violence [25]. These situations highlight that misinformation not only affects individuals but also has a negative impact on society. This indicates the urgent need for ethical accountability for content governance by online platforms.

Ethical Evaluation

Misinformation on social media violates multiple principles of ethics due to its serious consequences, as seen in cases like COVID-19 and the fabricated cable car incident. The motivations behind misinformation vary, ranging from the pursuit of public recognition and financial gain to mere boredom. These purveyors disregard their integrity, exploiting the regulatory gaps in cyberspace and widespread digital illiteracy. Moreover, the rise of AI generative tools has enabled the creation of fake news more easily due to their widespread accessibility [26]. Additionally, utilising the network with the intention to misinform breaches the principle of benevolence. If left unbridled, misinformation can erode public trust towards cyberspace while simultaneously deceiving individuals into making harmful, uninformed decisions.

Stakeholders have different views on handling misinformation; users of social media prioritise their rights to freedom of speech, while social media practitioners aim to balance user satisfaction with content accuracy. Yet, content restriction or removal might be interpreted as censorship, raising concerns under rights-based ethics. Meanwhile, there are government agencies, like the Malaysian Communications and Multimedia Commission (MCMC), whose goal is to protect the public by enforcing regulations to prevent political misuse and other forms of harm [27].

Recommendations

Prevention is often better than cure; a widespread educational program can be implemented in schools, communities or the workplace, with the goal of instilling individuals with the ability to consume information responsibly and critically. To illustrate, the News Literacy Project (NLP) is one of the many organisations in the United States that has a “Newsroom to Classroom” program. Such programs connect journalists with educators and students to provide news literacy instructions and combat misinformation [28,29]. We can envision Malaysia following their footsteps, connecting vetted journalists with schools and communities with the same goal.

Alternatively, social media platforms should also label content that is critical or created by AI tools. It was shown that people’s trust in content is heavily dependent on the labels; however, this also creates an unforeseen problem, where an absence of labels can mislead people due to the assumption of sources to be real [30]. Hence, labelling should not be limited to fake content but also to both verified and unverified content, to avoid the assumption of news to be valid for having no labels, as shown in a study conducted by MIT researchers [30].

Conclusion

In essence, this report focuses on the accelerated development of AI and the effects of misinformation on social media platforms. These issues demand the establishment of ethical frameworks across professional domains. Due to the widespread adoption of AI, workplace automation has been escalating, leading to apprehension surrounding job security and displacement, resulting in the need for proactive measures to safeguard societal well-being. If left unmitigated, this trend risks an increase in life dissatisfaction and erosion of the quality of life.

Furthermore, while the widespread accessibility of the Internet brings benefits to society, it has simultaneously rendered efforts to combat misinformation challenging, thereby solidifying the need for ethical conduct amongst netizens, governments, and social media platforms alike.

To mitigate these escalating challenges, it is crucial for influential bodies, such as the MBOT, to continue their leadership in formulating robust codes of ethics. These codes of ethics serve as a guide for professionals, fostering accountability while legal frameworks catch up with ongoing advancements. Ultimately, preventing exploitation and digital chaos depends on our conscious effort and collective commitment to prioritise human well-being in this rapidly evolving digital landscape.

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